HLX Strategy Fund - Defensive 20 (USDC) A-acc

HLX-S20 · Simplified prospectus · 2 November 2026

1. Important information

This document describes a simulated strategy in the HLX fund range. It is not a prospectus within the meaning of the Swiss Federal Act on Collective Investment Schemes (CISA), the EU UCITS Directive or any other regime, and no regulator has approved it. The strategy is not a collective investment scheme, has no legal personality, no board, no auditor and no depositary. Nothing here is an offer, solicitation or recommendation to buy or sell any instrument.

2. The fund

Name	HLX Strategy Fund - Defensive 20 (USDC) A-acc
Code	HLX-S20
Currency	USDC
Inception	2026-03-18
Benchmark	HLX Defensive composite (20% growth)
Management style	Rules-based
Risk indicator	2 / 7
Rebalancing	Quarterly
Number of holdings	8
Ongoing charges (illustrative)	45 bp

3. Investment objective

The fund seeks to track the return of HLX Defensive composite (20% growth) by holding the fixed weight vector set out in the portfolio table, expressed entirely in instruments listed on Hyperliquid. The theme is crypto + us equity, capital preservation. The fund is rules-based and rebalances quarterly.

4. Investment policy

The fund holds long positions only, sized to the target weights below, with no leverage at fund level. Weights are reconstituted on the rebalancing schedule and drift with performance in between. A maximum of 60% of NAV may be held in any single market, except for single-asset funds where 100% is permitted by design. Where a constituent is delisted or its market becomes untradable, the weight is redistributed pro rata to the remaining constituents at the next rebalancing.

Constituent	Instrument	Venue	Weight
USDC	cash collateral	Hyperliquid	72%
xyz:SP500	perpetual	Hyperliquid HIP-3 (xyz)	12%
xyz:TLT	perpetual	Hyperliquid HIP-3 (xyz)	8%
BTC	perpetual	Hyperliquid core	4%
ETH	perpetual	Hyperliquid core	2.4%
SOL	perpetual	Hyperliquid core	0.8%
HYPE	perpetual	Hyperliquid core	0.4%
XRP	perpetual	Hyperliquid core	0.4%

5. Risk factors

Market risk. Every constituent is a leveraged derivative on an underlying market. Prices can gap, and the fund has no ability to hold cash beyond its stated USDC sleeve.

Funding risk. Perpetual futures settle funding every hour. A persistently positive funding rate is a cost for long positions and can erode returns independent of price direction.

Liquidity risk. Depth on Hyperliquid is concentrated in roughly twenty markets. Positions in thinner legs may only be executed with limit orders and at a wider spread than the marks shown.

Oracle and venue risk. NAV is derived from Hyperliquid oracle prices. An oracle incident, venue outage, listing suspension or delisting would impair valuation and redemption.

Smart-contract and custody risk. Assets are held in on-chain accounts controlled by the investor. Loss of keys, a bridge failure or a protocol exploit is not covered by any depositor protection scheme.

Concentration risk. Several funds hold more than half of NAV in a single market. Diversification is limited by the range of listed instruments, not by policy.

Model and rebalancing risk. Weights are rules-based and rebalanced on the stated schedule. Rebalancing trades incur fees and may be executed at unfavourable prices.

Currency risk. The funds settle in USDC. Exposure to USD, and therefore to any non-USD investor's home currency, is unhedged.

6. Fees and expenses

An illustrative management fee of 45 basis points per annum is deducted from the simulated NAV for the purpose of this document. Actual trading costs are Hyperliquid taker and maker fees, funding payments on every perpetual leg, and slippage. No entry, exit, performance or distribution fee is modelled. For the avoidance of doubt, no fee is actually charged because no fund exists.

7. Subscription and redemption

Units are created or redeemed at the prevailing NAV by executing the weight vector on-venue. There is no notice period, no gate and no dilution levy. Redemption in kind is the only redemption method: the investor receives the underlying positions, not USDC, unless they choose to liquidate them on the venue. Settlement is atomic and continuous, including at weekends when HIP-3 equity markets remain open while cash equity markets are closed.

8. Valuation

NAV is calculated as the sum of each constituent's mark price multiplied by its quantity, plus the USDC balance, divided by units outstanding. Marks are taken from Hyperliquid oracle prices, which aggregate external venues; the venue's published mark price is used where an oracle is unavailable. Valuation is continuous rather than once daily, so the NAV a subscriber sees is the NAV they transact at.

9. Conflicts of interest and tax

The range is published by the same party that defines the weights and the rebalancing rules, and that party may hold the same positions. There is no independent oversight, no index administrator and no audit. Tax treatment depends on the investor's jurisdiction and on how the venue reports perpetual futures income; no tax advice is given.

This document is a simulated fund factsheet produced for research and demonstration purposes. The HLX funds are not registered collective investment schemes, are not offered or sold to the public, and have no custodian, transfer agent or prospectus filed with any regulator. Performance shown is a backtest of the stated target weights applied to historical Hyperliquid market prices and does not represent the return of any actual portfolio; past performance does not predict future results. Data as of 2 November 2026.